



1.3 Marketing Mix & Strategy

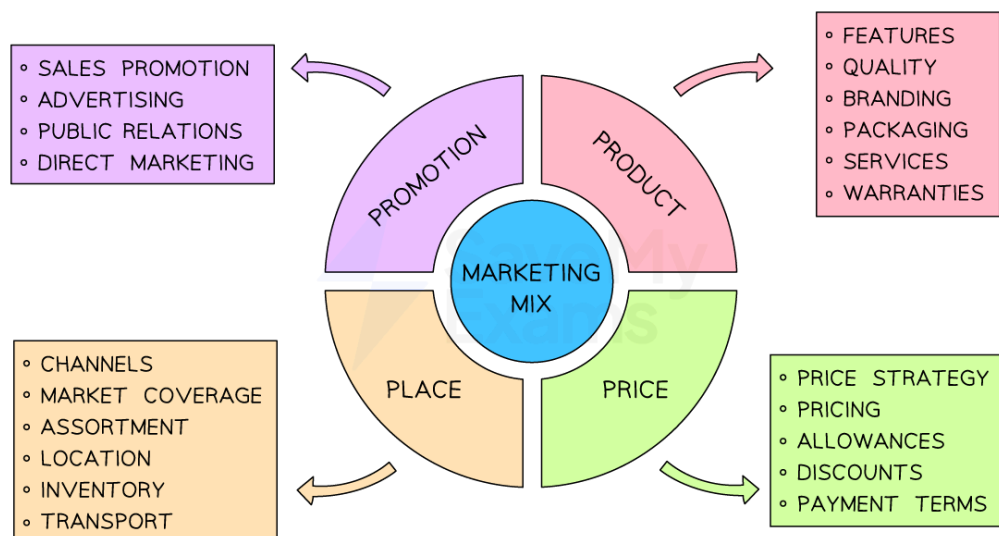
Contents

- * Product or Service Design
- * Branding & Promotion
- * Pricing Strategy
- * Distribution
- * Marketing Strategy



An introduction to the marketing mix

- The **marketing mix** (4Ps of marketing) provides a framework for businesses to create and implement **successful marketing strategies**
- The 4Ps represent the key elements of a marketing strategy
 - Product
 - Price
 - Place
 - Promotion
- These four components work together to satisfy the **needs and wants of a target market** while achieving the company's objectives
 - By understanding and manipulating the marketing mix, businesses can **differentiate themselves** from competitors
- A marketing mix is an essential tool for any company looking to maximise its marketing impact and achieve **long-term success**



Each business combines the different elements of the marketing mix in unique ways to maximise its profitability

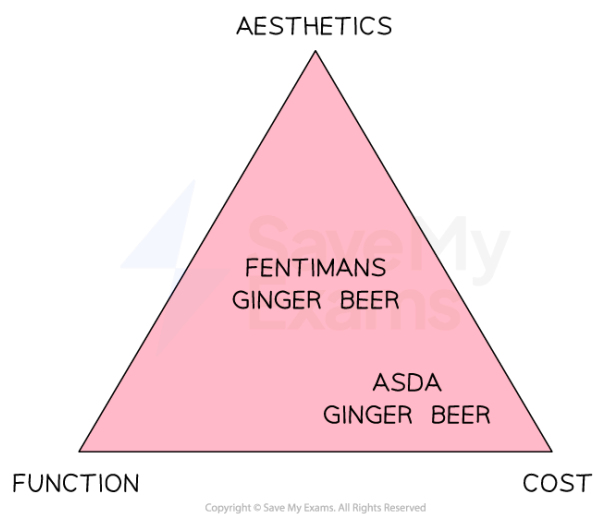
The design mix

- The product design mix refers to the **combination of elements** that make up a product's design
 - These elements include **function, aesthetics** and cost



- Balancing the elements of function, aesthetics and cost helps the product design to be both **functional and attractive**, while also being **cost-effective** for both the manufacturer and the consumer
 - Some manufacturers aim to **balance all three elements**
 - For example, Fentimans ginger beer is relatively affordable and is packaged in eye-catching bottles, and the product itself is of very good quality
 - Other manufacturers may **focus on one aspect** more than the others
 - For example, Asda's own brand of ginger beer is produced at the lowest possible cost and sold to consumers at a very low price

The design mix



Fentimans prioritises all three elements of the product design, while Asda focuses on cost

Function

- The function of a product refers to its intended purpose and the specific tasks it is designed to perform
- A product's function is the **most important aspect of its design** because it determines how well the product will **meet the needs** of its intended users
 - For example, a multi-plug adaptor that breaks after one month of use will not be seen by customers to fulfil its function

Aesthetics

- Aesthetics refer to the product's visual and sensory appeal, including its form, shape, colour and texture
- Aesthetics play an important role in attracting customers, creating brand loyalty and generating word-of-mouth recommendations
 - For example, Apple products are well known for their pleasing looks and use of quality materials

Cost



Your notes

- The cost of production must be considered when designing a product, as it directly affects the price point at which it can be sold
- A well-designed product should balance cost and value, ensuring that customers perceive the product as valuable enough to justify its cost while still maintaining profitability for the manufacturer
 - For example, Asda's own brand of ginger beer is very cheap to produce and is sold at a very low price

Changes in the design mix to reflect social trends

- Social trends refer to changes in people's attitudes, behaviours and lifestyles
 - Changes to any of these require companies to adapt their products to remain relevant to their customers
- Social trends can significantly impact the **product design mix**, especially regarding concerns over **resource depletion and ethical sourcing**

Social trends that require adaptation of the design mix

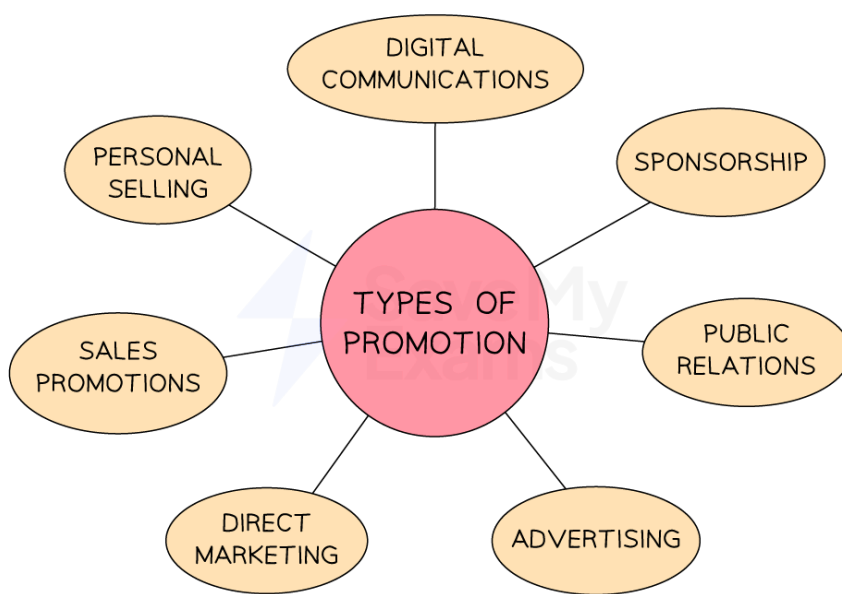
Current changes in social trends	Explanation
Concerns about resource depletion	▪ Customers are becoming increasingly aware of the need to conserve natural resources and reduce waste ▪ The product design mix may change to reflect waste minimisation, reuse and recycling ▪ Companies may choose to design products that use fewer materials, are more durable and can be easily disassembled for recycling or repair ▪ For example, in October 2020, Superdry announced that all of its jackets would use recycled polyester in their lining (made from plastic bottles) as opposed to new polyester
Concerns about ethical sourcing	▪ Ethical sourcing means that products are produced without the exploitation of workers or environmental damage ▪ Companies may change their product design mix to incorporate sustainable materials and production processes ▪ For example, Tony's Chocolonely is committed to producing chocolate that is made from cocoa farmed with 100% slave-free (and child-free) labour



Types of promotion

- Promotion is an important element of the marketing mix, as it plays a crucial role in **generating customer awareness**, interest and desire for a product/service
 - A business can communicate its **value proposition** to potential customers and differentiate itself from competitors
 - Promotion helps to **build brand awareness and loyalty**, which can lead to repeat purchases and referrals
- The promotion element of the marketing mix includes a **variety of promotional methods**

Types of promotion



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The different types of promotional methods available to a business to communicate with its target market

- Each method has advantages and disadvantages associated with its use
- Businesses must select the **most appropriate methods** for their product/service, target audience and budget

An assessment of promotional strategies

Method	Advantages	Disadvantages
Advertising Promotion through paid channels such as television,	Can reach large audiences and	- Can be expensive - The effectiveness of advertising can be



Your notes

radio, print media (magazines) and online advertising	increase brand awareness Can also be used to create a specific brand image or message (e.g. the advertising campaign run by Compare the Market (Meerkat))	difficult to measure Many customers tune out or ignore ads
Direct marketing Communicating directly with customers through emails, text messages, social media or posts	- Businesses can target specific audiences and personalise their message to individual customers - Direct marketing is also measurable, which enables businesses to track their results and adjust their strategy accordingly	- Can be intrusive, as customers may perceive it as spam - Can also be costly, especially if businesses do not have an established customer database or need to purchase leads
Sales promotions Techniques that encourage the purchase of a product by offering temporary incentives or discounts such as free samples, buy one get one free, discount coupons, loyalty cards and rebates (customers have to mail in to receive money back)	- Can quickly boost sales or customer engagement - Can help to clear out stock or promote a new product - Can encourage impulse purchases - Can be targeted to specific segments of customers	- Can be expensive, especially if the promotion requires heavy discounting - Can attract deal-seeking customers who may not be loyal to the brand - May reduce the sales of full-priced products
Personal selling Occurs when a salesperson interacts with potential customers one on one, either in person or through digital communication channels	- Allows businesses to build relationships with their customers and understand their specific needs - Enables businesses to provide	- Can be expensive due to the cost of hiring and training sales staff - The impact of personal selling can be limited, as it is difficult to scale to large audiences



Your notes

	personalised advice and guidance to customers	
Sponsorship ▪ An agreement in which a company provides financial or other support to an event, team or organisation in exchange for marketing exposure ▪ Can take many forms, such as logo placement or naming rights (e.g. Arsenal's Emirates Stadium)	▪ Can help to build brand awareness and credibility ▪ Can create emotional connections with target audiences ▪ Can support specific business objectives, such as entering new markets or reaching new customers	▪ Can be expensive, especially for high-profile events or properties ▪ May not directly drive sales ▪ May be subject to negative publicity if the sponsored entity experiences a scandal or controversy (e.g. In 2022, Kanye West was dropped by Adidas after his antisemitic outbursts)
Public relations (PR) ▪ Building relationships with the public and managing reputation ▪ Public relations activities can include media relations, crisis management and community outreach ▪ For example, in 2018, KFC in Ireland ran out of chicken due to some supply chain issues and ran a brilliant PR strategy in which it rearranged the letters in its name to "FCK" and owned the problem	▪ Can enhance a business's reputation and credibility ▪ This can lead to increased customer loyalty and sales ▪ Can be cost-effective when compared to advertising or personal selling	▪ PR can be time-consuming, and it is difficult to measure the direct impact of PR activities on profits
Digital communications ▪ Any form of marketing or communication that is delivered electronically, such as social media, search engine optimisation or mobile apps such as Instagram and Twitter	▪ Can be highly targeted to specific customer segments ▪ Can provide real-time engagement and feedback from customers	▪ Can be easily ignored or filtered out by customers ▪ May require significant investment in technology or data infrastructure

- Can be used for building brand awareness, generating leads or driving sales

- May be subject to data privacy regulations or security breaches
- May **not be effective for reaching older** or less digitally savvy customer segments

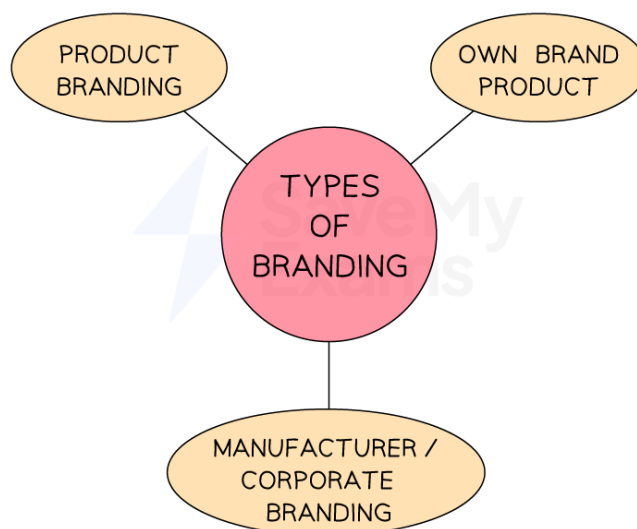


Your notes

Types of branding

- Branding is the process of **creating a unique and identifiable** name, design, symbol or other feature that **differentiates a product or company** from its competitors
- Branding is important to a business for a variety of reasons:
 - Branding establishes **recognition and identity**
 - Branding builds trust and credibility
 - Branding **differentiates** a business from its competitors
 - Branding creates an emotional connection with customers that helps to **generate repeat purchases**
 - Branding **supports marketing and advertising** efforts

Types of branding



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The three different types of branding available to businesses

Manufacturer/corporate branding

- This refers to the use of a company name or logo to **promote all the products or services offered by the company**
- This type of branding is used by companies such as Nestlé, Nike and Apple

Advantages and disadvantages of corporate branding



Your notes

Advantages	Disadvantages
- Creates strong brand recognition and reputation for the company, which can increase customer loyalty and trust - Allows the company to leverage its existing reputation and customer base to introduce new products more easily - Helps build economies of scale by promoting multiple products under one brand, which can reduce marketing costs and increase profitability	- If a company's reputation is damaged by a product, it can have a negative impact on all the products offered under that brand - If the company faces intense competition in one market (e.g. smartphones), it may affect the sales of all the products offered across other markets (e.g. laptops and desktops)

Product branding

- This refers to the use of a unique name, design or symbol to promote a specific product
- For example, KitKat, Coca-Cola and the McDonald's Big Mac

Advantages and disadvantages of product branding

Advantages	Disadvantages
- Creates a distinct identity for the product, which can help to differentiate it from competitors and increase brand loyalty - Allows the company to market different products to different segments of the market (e.g. Coca-Cola and Coke Zero) - Can help build customer loyalty and trust by associating the product with a specific quality and benefits (e.g. Dyson vacuum cleaners)	- The cost of creating and promoting a new brand for each product can be expensive - Introducing new products under different brands is difficult, as the business must build a new brand for each product from scratch - Different products within the brand may have different levels of quality, which can affect customer satisfaction

Own branding

- Own-brand** or **private-label branding** refers to the use of a retailer's name to promote a specific product or service
 - Own branding is often used by supermarkets, such as Asda chocolate, Tesco's "Finest" range and Sainsbury's "Basics" range

Advantages and disadvantages of own-brand products



Your notes

Advantages	Disadvantages
▪ They can help retailers differentiate themselves from their competitors by offering unique products ▪ They allow retailers to offer products at a lower cost than branded products, which can help to increase sales and profitability ▪ They can help build customer loyalty by offering exclusive products that are not available elsewhere	▪ Own-brand products may have a lower perceived quality than branded products, which can affect customer loyalty and trust

The benefits of branding

- Strong branding can provide several benefits to a business, including:

Added value

- Strong branding can **add value** to a product by creating a perception of quality, reliability and trust

Ability to charge premium prices

- Customers may be **willing to pay more** for a product that is associated with a **well-established brand**
- They perceive products with strong branding to be of higher quality and therefore worth the extra cost

Reduced price elasticity of demand

- Strong branding can also reduce the price elasticity of demand for a product (customers are less sensitive to price changes)
- This is because customers who are **loyal to a brand** are more likely to continue purchasing the product even if the price increases

Ways to build a brand

- Brands can be built using **any one or a combination** of the following methods:
 - By developing unique selling points (USPs)
 - Through advertising
 - Through sponsorship
 - Through the use of social media

Examples of brand building



Your notes

Method	Explanation	Example
Unique selling points (USPs)	- USPs are the features that make a product/service stand out from its competitors - Brands can build their reputation by emphasising these unique qualities in their marketing efforts	- Apple is known for its innovative and sleek design and use of quality materials, which sets its products apart from its competitors - The company has built its brand around this USP and is recognised worldwide for its premium design
Advertising	- Brands can create compelling ads that resonate with their target audience, raise brand awareness and communicate their value proposition - With the right advertising strategy, brands create a strong emotional connection with their audience and inspire brand loyalty	- Coca-Cola has successfully built its brand through advertising - Iconic ads over the years have become synonymous with the brand - For example, the "Share a Coke" campaign encouraged people to buy Coca-Cola bottles with their friends' names on them and was a massive success
Sponsorship	Partnering with events, organisations or individuals can help brands gain exposure and build their reputation by aligning themselves with positive associations or values	- Nike has sponsored many high-profile athletes and sports events, such as the Olympics and the World Cup - Nike has built a reputation for being a brand that champions excellence and inspires people to be their best
Social media	With the right social media strategy, brands can build a loyal following and create a community around their brand	Glossier has a strong presence on platforms such as Instagram, and it engages with its audience and shares user-generated content

		Glossier's social media strategy has helped the brand build a loyal following
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Your notes

Changes in branding and promotion to reflect social trends

- Businesses that respond quickly to **changing social trends** can better meet the needs of customers
- Being able to quickly adapt branding and promotion strategies helps **maximise communication opportunities with customers**, which can develop brand loyalty and increase profits
- Three current social trends businesses are aware of and adapting to are viral marketing, the use of social media and emotional branding

Viral marketing

- This is a strategy in which businesses use online platforms to promote products by **creating content at specific times**, which can easily be shared and commented on
 - For example, during the Covid-19 pandemic, Coca-Cola and McDonald's **ran campaigns that emphasised community**, which aligned with the public's need for social support

Social media

- As social media platforms evolve, businesses must also **adapt their social media strategies** to keep up with the latest trends
 - For example, **Instagram** has been a popular platform for businesses to promote products through influencer partnerships
 - More recently, many businesses have shifted focus to promoting their brands through **short-form video** content on platforms such as **TikTok**

Emotional branding

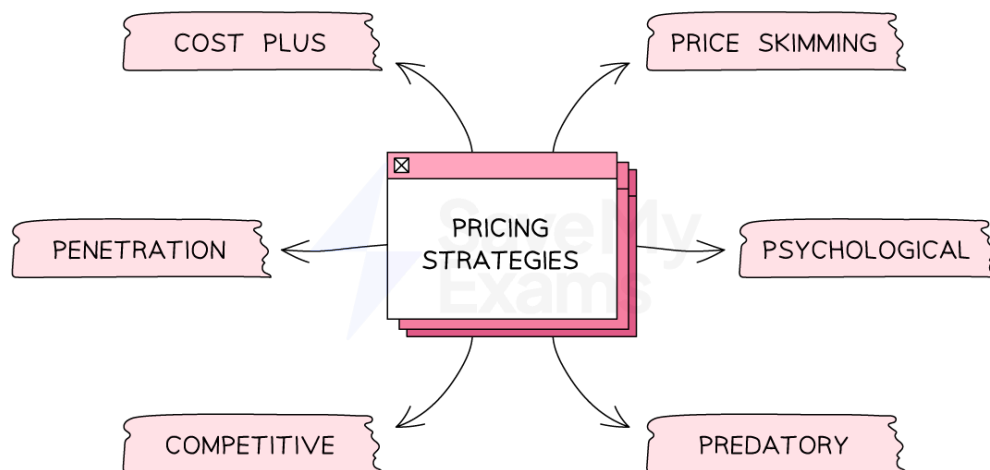
- Emotional branding is a strategy in which companies **build strong emotional connections** with customers by appealing to their values, beliefs and emotions
 - For example, brands such as Patagonia and TOMS have built entire brand identities around a strong commitment to environmental and social causes, which **resonates with customers** who prioritise these values



Types of pricing strategies

- Choosing the right **pricing strategy** is essential for a business to be profitable, competitive and successful in the long run

Common pricing strategies



Different types of pricing strategies

Explanation of pricing strategies

Pricing strategy	Explanation
Cost plus	- The business calculates the cost of production and then adds a markup to determine the final price - The markup covers the cost of production plus the business's desired profit margin - The formula to calculate the cost-plus price is: $\text{Unit cost} + (\text{Markup percentage} \times \text{Unit cost})$ - This pricing strategy is simple to calculate - It is commonly used by manufacturers that produce standardised goods (e.g. washing machines)
Price skimming	- The business sets a high price for a new product/service when it is first introduced to the market - This is effective when an <i>established brand</i> is introducing a new product and there is a high demand for it (e.g. successive models of



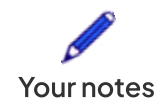
Your notes

	Apple's MacBook Air) ▪ The high price helps the business recover its development and marketing costs quickly ▪ The business will then gradually lower the price to ensure sales continue
Penetration	▪ The business sets a low price for a new product/service when it is first introduced ▪ This is effective when a business wants to quickly capture market share and attract price-sensitive customers (e.g. many new perfumes launch using penetration pricing) ▪ Once it has enough customers, the business will start to raise the price
Predatory	▪ The business sets prices so low that it drives its competitors out of the market ▪ This strategy is illegal in many countries, including the UK, as it is considered anti-competitive and harms customers by reducing choice in the market
Competitive	▪ The business sets its prices based on its competitors' prices ▪ This is effective when a business is in a highly competitive market and wants to maintain its market share ▪ The business must continually monitor its competitors' prices and adjust its prices accordingly to remain competitive
Psychological	▪ This pricing strategy takes into account the customer's emotions, beliefs and attitudes towards the product/service ▪ For example, a business may set its prices at £9.99 instead of £10, as customers perceive the former as better value

Factors influencing the choice of pricing strategy

- By understanding their customers, competitors and costs, businesses can set prices that **maximise revenue** and profitability
- Pricing can play a significant role in **positioning the brand** in the market and help a firm to compete effectively
- A business needs to consider **various factors** when setting its pricing strategy

- Understanding these factors can help a business **make informed decisions** about its pricing and increase its chances of success



Factors to consider when choosing a pricing strategy

Number of USPs/amount of differentiation	Price elasticity of demand	Level of competition
- Products with many USPs and high differentiation can command higher prices - For example, Dyson vacuum cleaners have unique features that allow the company to charge a premium price	- A business needs to consider the price elasticity of demand when setting its prices - For example, if a business is in a highly competitive market with many substitutes, lowering prices will increase revenue - Businesses should set lower prices if the product is price elastic - Businesses should set higher prices if the product is price inelastic	- In highly competitive markets, businesses may need to set their prices low to remain competitive - For example, the budget airline industry is highly competitive, and airlines keep their prices low to increase demand - In less competitive markets, businesses may be able to set higher prices
Strength of the brand	Stage in the product life cycle	Costs and the need to make a profit
- A strong brand with a loyal customer base can command higher prices - For example, Nike's strong brand allows it to charge premium prices for its athletic shoes and apparel	- In the introduction stage, prices may be set lower to attract customers and build market share - In the growth stage, prices can increase as demand for the product increases - In the maturity stage, prices may need to be lowered again	- Prices must cover the cost of production and provide a reasonable profit margin - For example, a restaurant needs to consider the cost of ingredients, labour, rent and other expenses when setting menu prices



Examiner Tips and Tricks

Exam questions frequently ask you to be able to justify the most appropriate pricing strategy for a good or service.

When studying the data provided, consider the points above and then make a recommendation.

For example, in launching a new product with a strong brand identity, it may be appropriate to use a price skimming strategy to recover research and development costs.



Your notes

Changes in pricing to account for social trends

- Both **online sales** and **price comparison sites** have had a significant impact on pricing strategies
- Retailers must **continually adapt to remain competitive** in these markets

Online sales

- Online sales offer customers convenience and 24/7 accessibility
- Retailers have shifted their focus to online sales and adjusted their **pricing strategies**
- One way that pricing has changed to reflect this trend is through the use of **dynamic pricing**
 - Retailers can adjust prices in real time based on factors such as demand and competition
 - Prices are **higher when supply is lower** and vice versa
- Retailers may also offer different prices for online purchases compared to in-store purchases to incentivise customers to shop online, which may mean the retailer **requires fewer physical stores**
 - This will reduce the retailer's costs

Price comparison websites

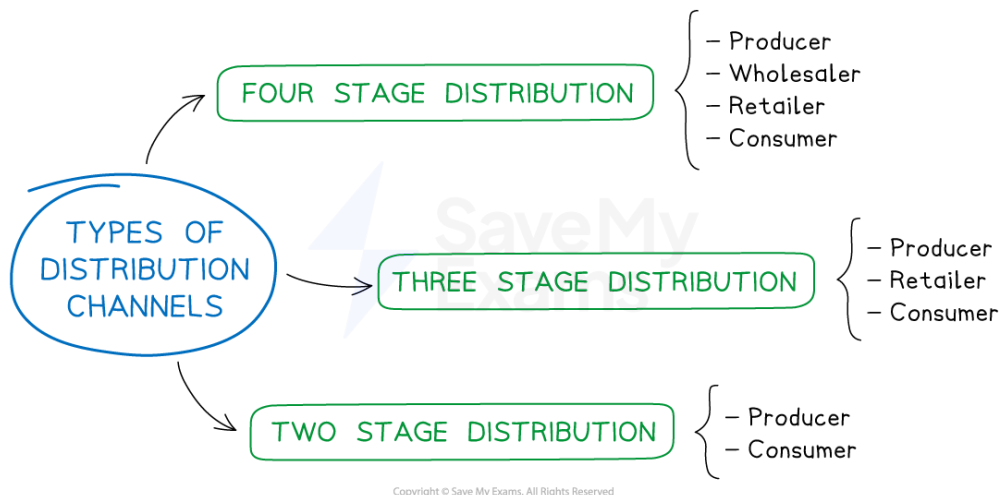
- Retailers have had to adjust their pricing strategies to remain competitive in an online marketplace where customers can easily compare prices (e.g. www.comparethemarket.com)
- Pricing has changed to reflect the rise in price comparison through the use of **price-matching policies**
 - Retailers now offer to match the prices of their competitors to prevent customers from switching to a competitor with a lower price
- Retailers may also use **pricing algorithms** to monitor the prices of their competitors and **adjust their prices** automatically



Types of distribution channels

- Distribution channels refer to the **various intermediaries** through which goods/services move **from the manufacturer to the end customer**

Common distribution channels



The three different types of distribution channels businesses can use to move products from the manufacturer to the end consumer

Four-stage distribution channel

- A traditional channel consists of four stages: producer, wholesaler, retailer and consumer
- This channel is commonly used for products such as groceries, clothing and electronics
 - For example, The Coca-Cola Company produces the soft drink and then sells it to a **wholesaler**, which in turn sells it to a retailer
 - The retailer then sells the soft drink to the end customer

Three-stage distribution channel

- The three-stage distribution channel **eliminates the wholesaler stage**, with the producer selling directly to the retailer
- This channel is often used for **products with high demand** or where the cost of distribution is high
- This channel is often used for products with high **profit margins**, where the manufacturer can afford to sell directly to the retailer and still make a profit
 - For example, Toshiba produces laptops and sells them directly to retailers such as Currys, which then sell them to the end customer

Two-stage distribution channel

- The two-stage distribution channel **eliminates both the wholesaler and retailer** stages, with the manufacturer selling directly to the end consumer
- This channel is commonly used for **products that are sold online** or through direct sales channels
 - For example, Ryanair sells its service (passenger tickets) directly to the end customer on its website

Changes in distribution to reflect social trends

- Changes in distribution have been impacted by social trends such as the **growth of e-commerce** and the **shift from product-based businesses to service-based businesses**
- By understanding these trends, businesses can adjust their distribution strategies to better **meet the needs** of their customers and **stay competitive** in the marketplace

The growth of e-commerce

Explanation	Example
▪ Online distribution has become increasingly popular due to the convenience and accessibility it offers to consumers ▪ Many businesses now use drop shipping, which allows them to sell products without holding stock ▪ Once the business has sold the products, they are shipped directly from the producer to the customer ▪ This reduces the cost and complexity of distribution, making it easier for businesses to sell online	▪ Amazon is known as a third-party logistics provider ▪ It provides businesses with the infrastructure and online marketplace that allows them to reach a wider audience and increase sales without having to invest in their distribution infrastructure ▪ Many businesses now generate the bulk of their sales by selling on Amazon

The shift from product-based businesses to service-based businesses

Explanation	Example
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Your notes

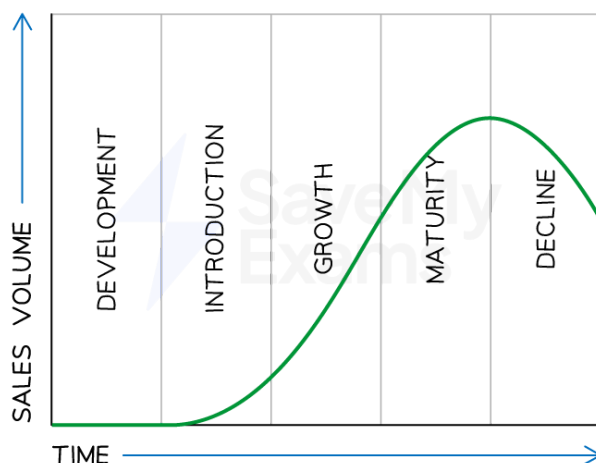
- | | |
|---|--|
| <ul style="list-style-type: none">▪ Consumers increasingly value experiences over material possessions, and this shift has impacted distribution, as the delivery of services is often quite different from the delivery of physical products▪ Distribution for service-based businesses may involve delivering services to customers directly, such as through a mobile app or website<ul style="list-style-type: none">▪ This requires a different set of distribution capabilities than traditional product-based distribution | <ul style="list-style-type: none">▪ Uber delivers a taxi service through a mobile app<ul style="list-style-type: none">▪ The distribution involves matching drivers with customers in real time▪ The service is distributed directly to the end consumer without the need for wholesalers or retailers▪ With no need for wholesalers or retailers, business costs are reduced, and profitability may increase |
|---|--|



The product life cycle

- The product life cycle describes the **different stages a product goes through** from its conception to its eventual decline in sales
- There are typically **five stages in the product life cycle**: development, introduction, growth, maturity and decline

A typical product life cycle



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The five stages a product goes through over its life span — from development to decline (and ultimately withdrawal from a market)

- The implications for **cash flow** and **marketing** vary at each stage of the product life cycle
- Companies should **tailor their marketing strategies** and manage their cash flow to ensure long-term profitability and success

The product life cycle, cash flow and marketing strategy

Stage	Explanation	Implication
Development	▪ The focus is on designing and developing the product ▪ The business usually incurs high costs for research and development, market research and product testing	▪ Cash flow is usually negative during this stage, as the company is investing heavily in the product without generating any revenue ▪ The marketing strategy during this stage is focused on creating awareness and generating interest in the product



Your notes

Introduction	▪ The stage begins when the product is launched ▪ It is characterised by slow sales growth, as the product is still new and unknown to most consumers	▪ Cash flow is usually negative, as the business usually incurs high costs for promotion, advertising and distribution ▪ Marketing efforts are focused on creating awareness and generating interest in the product
Growth	▪ The product enters this stage when sales begin to increase rapidly ▪ The business focus shifts to building market share and increasing production to meet the growing demand	▪ Cash flow usually turns positive during this stage as sales revenue increases and costs are spread out over a larger volume of production ▪ The marketing strategy is to differentiate the product from its competitors and build brand loyalty
Maturity	▪ This is characterised by slowing sales growth as the product reaches its peak in terms of market penetration	▪ Cash flow is usually positive during this stage, as sales revenue continues to come in and costs are reduced through economies of scale and efficient production processes ▪ The marketing strategy aims to maintain market share and increase profitability by cutting costs and finding new markets
Decline	▪ This starts when sales begin to decline as the product becomes obsolete or is replaced by newer products ▪ The business focus shifts to managing the product's decline and reducing costs	▪ Cash flow usually turns negative, as sales revenue declines and costs associated with the product's decline increase ▪ The marketing strategy may involve discontinuing the product, reducing its price to clear inventory or finding new uses for the product

Extension strategies to the product life cycle

- Extension strategies refer to the techniques used by businesses to **extend the life of a product beyond its natural life cycle**



- These strategies are **designed to boost sales** and maintain profitability for a product that has **reached the decline stage** of its life cycle
- There are two types of extension strategies:
 - Product-related extension strategies
 - Promotion-related extension strategies
- By making product- and promotion-related changes, businesses can continue to **appeal to customers** and extend the life of their products

Product-related extension strategies

- Involves **changing or modifying the product** to make it more appealing to customers and extend its life cycle, which can be achieved in one of three ways:
 - **Product improvements** (e.g. Samsung releases new versions of its Galaxy Smartphone every year with upgraded features and improvements to the previous model)
 - **Line extensions** (e.g. Coca-Cola introduced Diet Coke and Coke Zero as line extensions of its original Coca-Cola)
 - **Repositioning** (e.g. when IBM's personal computer division started losing market share to other brands, it repositioned its products as high-end business machines and focused on the enterprise market)

Promotion-related extension strategies

- Involves changing the marketing and promotion of the product to extend its life cycle and could include one or more of the following changes:
 - **Changes to advertising** (e.g. Kellogg's continues to recreate adverts for its Corn Flakes cereal, which has been around since 1906)
 - **Price promotions** (e.g. Cyber Monday occurs on the first Monday after Thanksgiving in the US, and electronics firms discount prices significantly to boost sales of their products)
 - **Sales promotions** (e.g. many coffee shops offer a **loyalty program** in which customers can earn a free drink for every six consumed)

Boston Matrix and the product portfolio

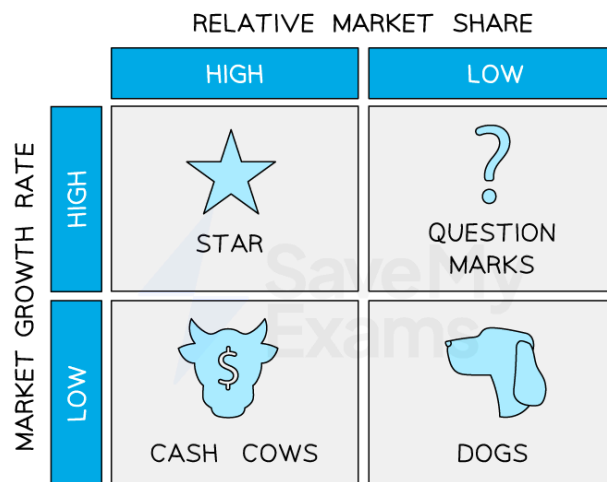
- The Boston Matrix is a tool used by businesses to **analyse their product portfolio** and make **strategic decisions** about each product
- The matrix classifies products into four categories based on their **market share** and the **market growth rate**:
 - Cash cow
 - Problem child/question mark
 - Star

- Dog

The Boston Matrix



Your notes



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The classification of products in the Boston Matrix according to their market share and the growth rate in the market as a whole

- By categorising products into these categories, businesses can **allocate resources more effectively**, optimising their cash flow and developing marketing strategies that align with the product's potential

Product classification in the Boston Matrix, cash flow and marketing strategy

Product type	Explanation	Implications
Cash cow	▪ Cash cows are products with a high market share in a mature market (the entire market is no longer growing)	▪ They generate significant positive cash flow but have low growth potential ▪ The business invests minimal resources in cash cows, as they are seen as stable sources of income ▪ Marketing efforts focus on maintaining their market share and profitability ▪ Cash cows are valuable assets and can be used to fund the development of new products



Your notes

Problem child / question mark	■ Problem child or question mark products have a low market share in a high-growth market ■ These products have the potential to become stars if the company invests in their development	■ There is often a negative cash flow, as businesses usually invest in problem child products to increase their market share and turn them into stars ■ If the investment does not result in growth, the business may discontinue the product ■ Marketing efforts focus on increasing market share and brand recognition
Star	■ Star products have a high market share in a high-growth market ■ The company typically invests in stars to maintain or increase its market share	■ They generate significant positive cash flow and have the potential for continued growth ■ Marketing efforts focus on building brand recognition, increasing market share and maintaining profitability ■ Stars are valuable assets, and the business should focus on maximising their potential
Dog	■ Dog products have a low market share in a low-growth market	■ They generate little revenue for the company and have no growth potential ■ Businesses often move away (divest) from these to focus on more profitable products ■ Marketing efforts for dog products are minimal or zero

Marketing strategies for different types of markets

- **Marketing strategies** vary depending on the **type of market** being targeted:
 - Mass markets, niche markets, business-to-business (B2B) markets and business-to-consumer (B2C) markets

Mass markets

- Mass markets are characterised by large numbers of customers who have **similar needs and wants** (e.g. retail clothing)



Your notes

- Mass markets **focus on building brand awareness** and appealing to a broad audience
 - Advertising campaigns are usually designed to **reach as many people as possible** and use mass media such as TV, radio and print ads
 - The messages are often simple, and the goal is to create a strong brand identity that resonates with a **large segment** of the population

Niche markets

- Niche markets are characterised by **smaller groups of customers with specific needs and wants** (e.g. organic food stores, luxury car dealerships)
- Marketing strategies focus on **targeting a specific segment** of the population and building relationships with them
 - Advertising campaigns are usually more targeted and may use social media to reach potential customers
 - The messages are often more detailed and **include technical information** that is relevant to the specific needs of the target market

Business-to-business

- B2B marketing focuses on **selling products to other businesses** (e.g. software companies selling to other businesses, manufacturers selling parts to other manufacturers)
- In B2B marketing, the emphasis is on building relationships with other businesses and demonstrating how **your product can help** them be more successful
 - Advertising campaigns may include case studies that demonstrate the value of your product/service
 - The messages are often **more technical** and may focus on features and benefits that are relevant to other businesses

Business-to-consumer

- B2C marketing focuses on selling products/services **directly to consumers** (e.g. clothing retailers)
- In B2C marketing, the emphasis is on **building brand loyalty** and creating a **positive customer experience**
 - Advertising campaigns may include social media ads or influencer marketing campaigns that appeal to the emotions of consumers
 - The messages are often more **emotional** and may focus on the **lifestyle benefits** of using the product/service

Developing customer loyalty

- Developing **customer loyalty** helps businesses to grow and be successful in the long term

- Customer loyalty drives **repeat purchases**, which helps the firm to **reduce marketing costs** when launching new products
- Three commonly used methods of building customer loyalty include providing excellent **customer service**, **offering loyalty cards** and offering **saver schemes**



Your notes

Ways to develop customer loyalty

Method	Explanation	Example
Customer service	▪ When customers have a positive customer service experience, they are more likely to return and recommend the business to others	▪ Zappos is an online retailer that is well known for its exceptional customer service ▪ It offers free shipping and returns ▪ Its customer service representatives are available 24/7
Loyalty cards	▪ A popular way for businesses to encourage repeat customers ▪ These cards typically offer rewards or discounts for frequent purchases	▪ Sephora has a loyalty programme called "Beauty Insider" ▪ Members earn points for every purchase they make ▪ They can redeem those points for beauty products or experiences
Saver schemes	▪ These schemes typically offer discounts or special pricing for customers who save money with them ▪ This helps customers gradually save up some money that can be used at periods when food bills are usually higher (e.g. Christmas)	▪ Sainsbury's offers a Christmas savings scheme ▪ Its discounts are then usually between 2% and 6%